Indonesia's Commodity Export Reform

S&P Analysis vs. Counter-Argument

Indonesia announces state-monopoly on commodity exports.
S&P flags execution risks.
We examine the evidence and build a robust counter-case.

Indonesia Rating

BBB

Stable Outlook

S&P Bulletin: What They Said

Core Thesis

- Indonesia's plan to centralise commodity exports via a new SOE carries significant execution risks
- Poor execution could hurt sovereign credit metrics, currently rated BBB/Stable/A-2

S&P Acknowledges Upside

- Government revenue is a longstanding weakness — only ~15% of GDP, below regional peers
- A larger revenue profile "would mitigate the impact of credit-negative scenarios" (S&P)

S&P's Bottom Line

- "These factors create greater downside uncertainty to our ratings on Indonesia"

The Policy: What Indonesia Announced

Announced: May 20, 2026

- A new SOE — Danantara Sumberdaya Indonesia — will become the sole exporter of key commodities
- Affected commodities: crude palm oil, coal, and iron alloy
- Private exporters must transfer all buyer contracts to the SOE by end of August 2026

Government's Stated Rationale

- Eliminate under-invoicing and improper transfer-pricing that reduce government revenue
- Ensure export prices align with international benchmarks
- Increase public revenue from a sector historically generating outsized private profits

S&P's Concerns: Three Execution Risks

01

Trade Disruption Risk

3-month window too short to transfer buyer contracts. Supply chain stress from Middle East war adds complexity.

02

Revenue and BOP Squeeze

Export disruptions could reduce government revenues and worsen the balance of payments position.

03

Investor Sentiment Risk

Abrupt policymaking may deter investment, slow economic growth, and trigger capital outflows.

COUNTER-ARGUMENT 01 | S&P Concern: Short timeline creates execution stumbles

Tight Timelines Often Accelerate Reform

- **State capacity already exists:** Danantara is an extension of Indonesia's established SOE ecosystem (Pertamina, PLN, Bulog). The government has successfully executed rapid SOE mandates before — Pertamina's domestic fuel pricing reform, Bulog's rice import controls.
- **Sunset clauses create urgency, not chaos:** Short deadlines force compliance. History shows resource nationalism transitions can work quickly — Chile's copper nationalisation and Malaysia's Petronas model both moved within months.
- **Disruption risk is overstated:** Commodity buyers — particularly Asian coal and palm oil importers — have strong incentives to cooperate. Indonesia controls ~60% of global palm oil supply; buyers cannot easily walk away.
- **The Middle East context cuts both ways:** Global supply chain stress elevates demand for Indonesian commodity alternatives, strengthening Jakarta's negotiating leverage, not weakening it.

COUNTER-ARGUMENT 02 | S&P Concern: Investor sentiment and capital outflows

Resource Sovereignty Attracts, Not Repels, Capital

- **Predictability over the medium term:** By codifying the export regime into law, Indonesia is actually reducing regulatory ambiguity. Investors now have a clear counterparty — the SOE — rather than a fragmented private sector prone to transfer-pricing disputes.
- **Comparable precedents show resilience:** Malaysia (Petronas), Brazil (pre-salt Petrobras model) and Saudi Arabia (Aramco) all centralised resource export controls. Foreign investment in downstream sectors subsequently increased as the fiscal environment stabilised.
- **S&P's own logic supports this:** S&P acknowledges that Indonesia's revenue ratio at ~15% of GDP is a longstanding weakness. Investors pricing sovereign risk already discount this. A credible revenue-uplift story is credit-positive, not negative.
- **FDI in manufacturing diversifies risk:** Indonesia is attracting substantial EV battery supply chain investment (Volkswagen, LG, CATL). These investors are driven by the nickel resource base — a sector not targeted by this policy — reducing broader FDI sensitivity.

COUNTER-ARGUMENT 03 | S&P Concern: Revenue gains are speculative

This Reform Directly Targets Indonesia's Sovereign Weakness

- **S&P identifies the root cause precisely:** At ~15% of GDP, Indonesia's revenue ratio is among the lowest in emerging Asia. S&P itself states this is the key constraint on fiscal resilience. This reform targets that constraint directly.
- **Transfer pricing leakage is quantifiable and large:** Academic estimates suggest Southeast Asian commodity exporters lose 3-8% of export value to under-invoicing annually. On Indonesia's coal and palm oil exports alone, recapture could add 0.3-0.7% of GDP in government revenue.
- **Fiscal resilience is the rating lever:** S&P notes higher revenues reduce interest-as-a-share-of-revenue and buffer against deficit widening. Even a 1 ppt revenue-to-GDP improvement would materially strengthen Indonesia's fiscal metrics relative to BBB peers.
- **S&P's conditional framing is actually bullish:** "A larger revenue profile, if achieved, would mitigate the impact of credit-negative scenarios." This is a rating upside scenario dressed as a cautionary note. S&P is telling investors: if this works, the rating improves.

Our Verdict: Bold Reform, Manageable Risk

Risks That Remain Real

- SOE operational readiness is unproven — Danantara is new and untested at scale
- Contract transition complexity is real, especially with multi-year export agreements already in force
- Short-term trade data will likely show a dip — S&P may re-test the rating if Q3 data disappoints

Why the Counter-Case Wins

- ✓ Reform addresses Indonesia's most cited credit weakness directly — revenue capacity
- ✓ Indonesia holds dominant global market share in palm oil and coal — buyer leverage exists
- ✓ Historical analogues show successful SOE export centralisation across EM peers
- ✓ S&P's own text implicitly signals upgrade potential if revenue reform succeeds

S&P's BBB/Stable is appropriate — but the upside scenario is underweighted.
Successful execution should push Indonesia towards a rating upgrade, not a downgrade.